

Report Part Title: REGULATION

Report Title: CATO INSTITUTE REPORT TO THE DEPARTMENT OF GOVERNMENT
EFFICIENCY (DOGE)

Report Subtitle: How to Downsize and Reform the Federal Government

Report Editor(s): Alex Nowrasteh, Ryan Bourne

Published by: Cato Institute (2024)

Stable URL: <https://www.jstor.org/stable/resrep65607.5>

JSTOR is a not-for-profit service that helps scholars, researchers, and students discover, use, and build upon a wide range of content in a trusted digital archive. We use information technology and tools to increase productivity and facilitate new forms of scholarship. For more information about JSTOR, please contact support@jstor.org.

Your use of the JSTOR archive indicates your acceptance of the Terms & Conditions of Use, available at <https://about.jstor.org/terms>



JSTOR

Cato Institute is collaborating with JSTOR to digitize, preserve and extend access to this content.

REGULATION

Regulatory Reform: An Overview

Federal regulation imposes financial costs on Americans and impedes business efforts to address changing consumer demands and adjust to market conditions. Past repeals of whole [swaths of regulation](#) have improved public welfare even though these rules were adopted in the name of strengthening competition, enhancing consumer safety, improving environmental quality, or some other public goal. Similar improvement would follow a [new round of deregulation](#) that targets rules with high costs and little benefit.

Federal bureaucrats are often criticized for the cost and complexity of regulation. But in writing and enforcing these rules, they are only fulfilling obligations [written into law](#) by Congress and enforced by the courts. Worse, Congress often requires bureaucrats to make policy “tradeoffs” because [lawmakers don’t want](#) the political risk of making those decisions themselves. Indeed, [bureaucrats often are slow](#) to issue especially costly regulations for fear of public and political backlash, until they are spurred to do so by judicial action.

In recent years, regulatory reform advocates have offered proposals to mandate that bureaucrats *reduce* the regulatory burden. Among these are ideas such as increasing the use and rigor of cost–benefit analysis, capping the overall number of regulations or their aggregate compliance costs, and ad hoc, temporary suspensions of specific rules to boost economic activity or experiment with alternative regulatory schemes. As meritorious as these ideas might seem, their benefits are limited, if not outright nonexistent. History shows that [regulatory analysis](#)—no matter how rigorous—has little effect on blocking politically favored rules or advancing politically disfavored ones, regardless of the ratio of costs to benefits. Recent history also shows [politics will overcome caps](#) on the number or costs of regulation.

There is more promise in proposals to give Congress greater ability to review, block, and repeal regulations. Though Congress can rewrite statutes mandating rulemaking, it

is often difficult to unwind the political consensus and logrolling that got the original legislative packages adopted. One way to overcome this difficulty, at least in some cases, is to require Congress to approve the *resulting regulation*; the proposed [Regulations of the Executive in Need of Scrutiny \(REINS\) Act](#) would require congressional approval of any new major regulation via an expedited process. Another way to overcome this difficulty is for each statute authorizing rulemaking to include a “[sunset](#)” clause—a provision that the statute expires after a period of time unless Congress reauthorizes it. [Such initiatives](#) have been used at the state level with some success. However, as demonstrated by the infrequent use of an earlier regulatory reform measure, the [Congressional Review Act](#), political factors must align for these powers to be exercised.

The best policy would be for Congress to curtail issuing these rulemaking mandates to begin with, to take responsibility for their content, and to repeal or rewrite current legislation containing them. The president can play an important leadership role in this by advancing an agenda of [rules for lawmakers](#) to reform and by providing guidance for bureaucrats on how to fulfill Congress’s many mandates.

Toward that end, Congress should do the following:

- Require that Congress approve all new major regulations.
- Include “sunset” provisions on delegations of rulemaking authority to federal agencies.
- Carefully limit rulemaking authority when it is delegated to federal agencies.

The president should do the following:

- Direct agencies to reject proposed rules and reform existing rules with large net costs, regardless of the president’s policy preferences.
- Set a priority agenda of current rules with high net costs that agencies should reform.

Deregulate Financial Markets

US [financial markets](#) have too many regulations and [too many regulators](#). The regulations protect incumbent firms, exacerbate instability, and inflate costs.

Financial markets participants are subject to a complex regulatory structure that is enforced by, among others, the Federal Trade Commission, the Securities and Exchange Commission, the Federal Reserve, the Office of the Comptroller of the Currency, the Federal Deposit Insurance Corporation (FDIC), the National Credit Union Administration, and the Federal Housing Finance Agency, which oversees Fannie Mae and Freddie Mac. Those agencies, and others, should be consolidated, and layers of [redundant regulation](#) and uncertainty for market participants should be removed. Doing so would improve the economic performance of both financial and nonfinancial firms.

The federal government should do the following:

- Repeal the Dodd–Frank Act, or at a minimum, reform Titles I, II, VIII, and X of the act.
- Repeal the Community Reinvestment Act of 1977.
- Repeal all legislation and regulations that mandate public disclosure related to the purchase and [sale of securities](#), and if *necessary*, replace those laws and regulations with disclosure requirements.
- Support initial public offerings by limiting disclosure obligations.
- Open all private offerings to investment from any investor regardless of wealth.
- Create a *de minimis* exemption for any private offering of less than \$500,000.
- Eliminate the Exchange Stabilization Fund.

- Revise the [Bank Secrecy Act](#) to apply Fourth Amendment protections to financial records.
- Prohibit the Federal Reserve and Treasury Department from creating a [central bank digital currency](#).
- Create [regulatory clarity](#) for cryptocurrencies, clear [rules for cryptocurrency](#) marketplaces, and allow [cryptocurrency innovation](#).
- Restructure the Federal Reserve to focus only on monetary policy and only on regulating community banks.
- Eliminate the Consumer Financial Protection Bureau and move its core consumer regulatory functions to the Federal Trade Commission.
- Restructure the FDIC to focus only on deposit insurance and resolving failed federal financial institutions.
- Eliminate the National Credit Union Administration and move all regulatory responsibility for large federally chartered depository institutions and noncapital market financial institutions to the Office of the Comptroller of the Currency.
- Consolidate regulatory responsibilities of the Securities and Exchange Commission and the Commodity Futures Trading Commission into one capital markets regulator.
- Wind down Fannie Mae and Freddie Mac without establishing a new mortgage guarantee and move their resolution authority to the FDIC.
- Eliminate the Federal Housing Finance Agency.
- Eliminate the Office of Financial Research and the Financial Stability Oversight Council.

Remove Energy Regulations and Subsidies

American energy production is smothered by excessive regulation that goes far beyond that necessary to deal with quantifiable harms. The sector is also severely distorted by inefficient subsidies and other forms of corporate welfare. Shorn of regulation and liberated from subsidies, a healthy, competitive, and free market in energy will lower prices by expanding domestic energy production.

Prime targets for reducing bureaucracy and unnecessary federal involvement in energy markets include the Department of the Interior (DOI), the Department of Energy (DOE), the Environmental Protection Agency, the Nuclear Regulatory Commission (NRC), the Federal Energy Regulatory Commission (FERC), and the Department of the Treasury because it administers energy tax credits.

Congress should do the following:

- [Abolish the DOE](#), transfer the nuclear weapons program to a national nuclear weapons agency under the direction of a civilian official in the Department of Defense, and [privatize the national laboratories](#).
- Abolish the NRC and allow states to fill the void if they so choose.
- [Repeal the Federal Power Act of 1935](#) and abolish the FERC.
- Repeal the Public Utility Regulatory Policy Act of 1978.
- Repeal the Energy Policy Act of 2005.
- Repeal the [Inflation Reduction Act](#) (IRA), especially the energy subsidies.
- Return to taxpayers all grants issued [pursuant to the IRA](#).
- End the national energy policy of net zero by 2050.
- Unravel the [Renewable Fuels Standard](#) and other federal [biofuel programs](#).

The president should do the following:

- Immediately limit the payout of energy subsidies in the IRA by tightening [IRS guidance](#).
- Cancel subsidies to all energy technologies, including research and development subsidies to renewable energy and [nuclear power](#).
- Ensure DOI and other agencies allow for domestic energy production and related commodities, such as [critical minerals](#).
- Withdraw from the Paris Climate Agreement.
- Nominate a FERC chair who will 1) prioritize [electric grid](#) reliability and affordability and 2) reverse costly transmission expansion rules like [Order No. 1920](#).
- Nominate an NRC chair who will remove regulatory barriers to nuclear energy deployment.
- Encourage states to allow novel ways to [supply electricity](#), including through private grids.
- Urge states to repeal costly technology-specific mandates, including for [offshore wind](#).
- Lift the “pause” on exports of [liquefied natural gas](#).
- Stop discriminating against unconventional energy uses (such as [Bitcoin mining](#)) and energy resources.
- Prevent agencies with no energy jurisdiction, such as the [Securities and Exchange Commission](#), from engaging in energy or climate regulation.
- Reject carbon taxes styled as [greenhouse gas-based tariffs](#).
- Clarify that subsidies cannot form the basis for [EPA regulations](#).
- Resist pressure from green groups to rapidly expand the [electric transmission grid](#).
- Repeal the [several statutes](#) that created the energy-efficiency regulations administered by the DOE.
- Amend the Clean Water Act and other statutes to allow entrepreneurs to supply American shale gas to regions that demand it, including [New England](#).
- Auction off and shut down the [Strategic Petroleum Reserve](#).

Reverse Environmental Overregulation

Regulatory scope creep has increased the cost and invasiveness of environmental regulation in the United States. Rules promulgated under the Clean Air Act and Clean Water Act began with the laudable goal of protecting human health but have become expensive regulations that impose barriers to economic growth and prosperity with vanishingly small benefits for human health. Furthermore, environmental statutes have been inappropriately co-opted to address climate concerns without clear authority from Congress.

The federal government should remove unnecessary regulatory barriers and enable Americans to fully harness the nation's energy potential. Where government intervention is warranted, the focus should be on cost-effective and economically efficient measures to address tangible environmental harms.

Congress should revise existing legislation to rein in expensive and burdensome environmental regulations by doing the following:

- Repeal the National Environmental Policy Act of 1969 or, at a minimum, reform the law to limit legal standing for activist nongovernmental organizations, restrict the scope of review to each agency's statutory duties (e.g., the Federal Energy Regulatory Commission [FERC], if it is not dissolved, should not be a climate regulator), establish a reasonable time limit for challenges, and [make reforms](#) as technology-neutral and broadly applicable as possible.
- Refocus the Environmental Protection Agency (EPA) to prioritize the regulation of interstate air pollution while devolving responsibility for localized pollution to state governments.
- Revise environmental laws to explicitly account for the [costs of regulation](#) (e.g., the Clean Air Act

and National Ambient Air Quality Standards) and incorporate all [scientific uncertainties](#).

- Repeal [energy efficiency](#) mandates, especially those that limit consumer choice or impose unnecessary costs, such as [lightbulb efficiency standards](#), [Corporate Average Fuel Economy](#), or CAFE, standards, and others.
- Require congressional approval of [major rulemakings](#) before they are enacted.
- Reject [carbon border adjustments](#).
- End, or at least significantly curtail, the designation of [Superfund sites](#).

The president should do the following to unleash the American energy industry and reduce energy costs by reversing the costliest Biden-era regulations:

- Remand the EPA's [Clean Power Plan 2.0](#) because of its [significant flaws](#) and lack of transparent [cost-benefit analysis](#).
- Repeal the Biden administration's vehicle tailpipe emissions, a [labor union giveaway](#) that effectively imposes an [electric vehicle mandate](#).
- Revise the EPA's estimate of the [social cost](#) of greenhouse gases to better account for uncertainty and nonscientific assumptions, such as the discount rate.
- Revoke [climate-related executive orders](#) (EOs) and reinstate [EO 12866](#) in full.
- Withdraw from the Paris Climate Agreement, rescind all executive orders and agency rules tied to it (including [Federal Acquisition Rules](#)), and repeal regulations connected to "[Net Zero](#)."
- If FERC is not dissolved, nominate a FERC chairman committed to swiftly approving new [natural gas pipelines](#).

Slash Federal Health Care Regulation

Individuals have a right to self-medicate, choose their health care providers, and choose whether and how to pool medical expenses with others. When the government respects these rights, health care becomes more universal as a matter of course. Prices fall, owing to market innovation and competition. Quality improves as new treatments and insurance designs make [health care better](#) and more secure. The Food and Drug Administration (FDA), the Center for Consumer Information and Insurance Oversight (CCIIO), and other federal and state agencies violate these fundamental human rights.

The results are higher prices and lower quality health care (i.e., less-universal health care). The FDA blocks access to [essential medicines](#) and requires patients to get [unnecessary prescriptions](#). [Cost-benefit analyses](#) consistently find that, at the margin, [FDA regulation](#) on balance *harms* [patient health](#). The CCIIO enforces regulations that increase insurance premiums and ration care until, as President Biden's economic adviser [Michael Geruso admits](#), even "currently healthy consumers cannot be adequately insured." [State licensing regulations](#) block patients from accessing top doctors across the country.

The reforms below would cause prices to fall while improving quality—making health care progressively more universal by reducing the number of people who cannot afford the care they need. (The Medicaid/Children's Health Insurance Program reforms in the [Reduce Federal Health Spending](#) section would give states flexibility to address the unmet medical needs that remain.)

The federal government should do the following:

- Abolish the FDA, including its powers to block new medical tests, devices, and treatments from the market; to require patients to [obtain prescriptions](#); and to limit truthful speech.
- Regardless of the fate of the FDA, free patients to purchase medical tests, devices, and treatments that are available in other advanced nations.
- Use the Commerce Clause to free consumers to obtain health services from clinicians who hold licenses in other states and US territories.
- Use the Commerce Clause to free consumers and employers to purchase health insurance from other states and US territories.
- Repeal what's left of the Patient Protection and Affordable Care Act of 2010 (i.e., Obamacare) and other federal laws that restrict health insurance choice.
- Free consumers and employers to purchase health insurance exempt from federal regulations, by
 - creating a new category of statutorily exempt health insurance;
 - codifying President Trump's 2018 rule regarding "short-term" health plans; and
 - codifying President Obama's 2014 guidance exempting US territories from Obamacare regulations (and then freeing consumers and employers to purchase insurance from US territories).

Deregulate Childcare

The government regulates and subsidizes childcare, which has the net effect of reducing childcare supply, increasing the market price of care, and encouraging provisions ill-suited to many families' needs. Rather than persist with this failed approach, policymakers should focus on repealing [regressive regulations](#) that drive up costs and reduce care availability, including staff-child ratios, staff educational requirements, occupational licensing, and zoning restrictions.

Increasing childcare supply would reduce [costs for many families](#) with children and may even increase American fertility. At a minimum, it would ensure that American families have more childcare options to suit their needs.

The federal government should do the following:

- Revoke Biden's [childcare executive order](#).
- Eliminate the Child and Dependent Care Tax Credit.
- Eliminate CHIPS and Science Act requirements for

recipients to [supply childcare services](#).

- Abandon [Biden's new au pair regulation](#).
- Liberalize restrictions on visa categories used by people who [provide childcare](#) by removing the J-1 au pair age limit and English proficiency requirements, allowing more choice in au pair housing arrangements, increasing flexibility in the program for au pairs and host families, and expanding other visa programs used by care providers.
- [Allow au pairs](#) to stay beyond the two-year limit and allow them to provide elder care.
- Remove the Early Head Start requirement that staff have a Child Development Associate credential and be trained in child development.
- Remove the Head Start requirement that half of teachers must have at least an associate degree in early childhood education or a related field.
- Eliminate the [Child Care Development Fund](#).

Repeal the Jones Act and Similar Laws

The federal government should repeal maritime laws such as the [Jones Act](#), the [Foreign Dredge Act](#), and the [Passenger Vessel Services Act](#). Short of that, it should significantly reform those laws.

The [Jones Act](#), formally known as Section 27 of the Merchant Marine Act of 1920, restricts intra-US waterborne transport to vessels built and registered in the United States. Ships that comply with the law are four to five times [more expensive to build](#) and approximately three times [more expensive](#) to operate than [internationally flagged vessels](#), thus dramatically raising the cost of domestic transportation.

Americans have responded to these high costs by largely abandoning water as a transport mode (less than 4 percent of

[domestic freight moved](#) in 2023) and substituting domestic goods with imported products able to take advantage of efficient international shipping. For example, [California is set](#) to begin importing fuel from as far away as the Netherlands and Singapore instead of Texas due to the high cost of Jones Act-compliant shipping (a [similar dynamic](#) exists on the [East Coast](#)). In some cases, it is *impossible* to move goods within the United States, such as [liquefied natural gas](#) from Louisiana to Puerto Rico, due to a complete lack of appropriate Jones Act-compliant shipping. The Jones Act is an internal trade barrier that harms Americans' ability to trade and do business with each other.

The Foreign Dredge Act and Passenger Vessel Services Act have produced comparably dismal results. The Foreign

Dredge Act increases the cost of [dredging US ports](#) and waterways by prohibiting more efficient international firms from entering the market. Meanwhile, in the case of the Passenger Vessel Services Act, only [one large ship](#) (800-plus passengers) complies with the law. As a result, the act curtails US tourism by forbidding 99 percent of the world's cruise ships from offering purely domestic itineraries.

The federal government should do the following:

- Repeal the Jones Act, the Foreign Dredge Act, and the Passenger Vessel Services Act.

If these three acts are not repealed outright, enact the following [reforms that would reduce](#) the costs of those laws (ordered by magnitude of impact):

- Eliminate the US-built requirement, thus bringing US maritime cabotage laws into line with those governing domestic cabotage for trucking and aviation that allow the use of foreign-built vehicles. To address possible concerns about China, this could be

restricted to vessels constructed in countries that have mutual defense agreements with the United States.

- Exempt the noncontiguous states and territories of Alaska, Guam, Hawaii, and Puerto Rico from the Jones Act and other maritime cabotage laws. As with the build requirement, this could be limited to shipping from allied countries.
- Relax current waiver requirements to allow the use of internationally flagged and built vessels based on purely economic need (current waivers must be justified on national security grounds) if no Jones Act-compliant vessel is available.
- Allow non-Jones Act vessels to engage in international cargo relay, transporting goods that originate from abroad or are ultimately destined for export between smaller and larger ports as part of a hub-and-spoke model.
- Permit dredging companies from allied countries to offer their services in the US market.
- Exempt all large cruise ships (those with over 800 passengers) from the Passenger Vessel Services Act.